

The Consumer Missed and Nothing Moved

Friday's data broke hard against the tape and the tape barely noticed; what matters is what that silence leaves unpriced.

THE READING

July retail sales fell 0.6% against a consensus of roughly +0.2% — the largest monthly decline since May 2025. Excluding autos and gasoline, sales fell 0.2%. The preliminary University of Michigan sentiment reading for August came in at 51.0 against 54.5 expected, down from 55.2 in July.

The S&P 500 closed near 7,785, down about 0.2% from Thursday's record 7,798.99, and still finished its third consecutive higher week. The VIX ended Thursday at 14.57, at 17.7% of its 14.06–16.94 risk range, near the floor. Hedgeye carries 28 of 30 allocations and no shorts at all. The mood is not greed. It is a settled conviction that weak demand is good news, because weak demand is what stops a hike.

WHAT WISDOM WOULD SAY

Frank Knight, in *Risk, Uncertainty and Profit* (1921), separated two things usually spoken of as one. Risk is a distribution you can price: known outcomes, estimable odds, insurable. Uncertainty is the case where the distribution itself is unknown, so no premium can be quoted, because nobody knows what to quote against. Knight's claim was that profit belongs to the second category. You are paid for bearing what cannot be priced, not for bearing what can.

Apply it to Friday. A minus 0.6% retail print is risk. It is measurable, revisable, one observation in a series with known variance, and the market marked it at a fifth of one percent. Whether it is the first month of a consumer rolling over is uncertainty. There is no distribution for that yet — one number, and two stories fitted to it. A VIX at the bottom of its band is the price of the first thing. It says nothing at all about the second.

THE RISK IT JUSTIFIES

This argues for leaving size alone rather than reaching for protection. Volatility is cheap for a measurable reason, and buying it here insures the wrong thing. What matters is how much consumer-cyclical exposure the book already carries into a data series that has now turned once. One print sells nothing. It also buys nothing — not index beta near 7,785, with the S&P in the upper third of a 7,576–7,884 range, and not fresh cyclical before Wednesday.

Two dates settle it. The FOMC minutes on 19 August show how close the July hold was, with three governors dissenting in favour of a hike. Walmart reports on 20 August and either confirms Friday's print or contradicts it. A beat with firm guidance makes July a tax-refund artefact. A miss makes it a trend, and then the question stops being hedging and becomes size.

How much of what you own is sized for risk, and how much for uncertainty?